

Preferred-Stock Protective Provisions. Maintenance of Junior Capital

PREFERRED STOCKS ARE almost always accorded certain safeguards against the placing of new issues ahead of them. The standard provision prohibits either a prior stock or a mortgage-bond issue except upon approval by vote of two-thirds or three-fourths of the preferred stock. The prohibition is not made absolute because conditions are always within contemplation under which the preferred stockholders may find it to their advantage to authorize the creation of a senior issue. This may be done because new financing through a bond issue is necessary to avoid receivership. An example is afforded by Eitingon-Schild Company in 1932. According to the provisions of the 6½% First Preferred stock the company could not create a mortgage, lien, or charge on any of its property, except purchase-money obligations, extensions of existing mortgages, and pledge of liquid assets to secure loans made in the ordinary course of business. Because of the precarious financial condition of the company in 1932 the preferred stockholders authorized certain financial rearrangements, including the creation of a \$5,500,000-issue of 5% debentures containing certain provisions the effect of which was to create a special charge against fixed properties.

Protection Against Creation of Unsecured Debt Desirable. It is a common practice to give preferred stockholders no control over the creation of *unsecured debt*. This point is exemplified by the American Metal Company, which in 1930 issued \$20,000,000 of debenture notes without vote of the preferred stockholders but in 1933 was compelled to ask for their approval of the possible pledging of collateral to refund the notes at maturity. This distinction appears to us to be unsound, since unsecured